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“By charging only for what the consumers use, we have stirred a hornet’s nest.”



DEEPAK GULATI, President, Tata Docomo

The issue of new licences and entry of new players in many circles has triggered a tariff war in India's 471.7 million-strong wireless market. Unlike mature markets which have three or four players, India has eight to 10 players in each circle. Apart from the existing 14 players, new ones like Uninor, Etisalat DB Telecom and Datacom are looking to launch by December-January. Already urban teledensity has reached 87 (connections per 100 individuals) and call charges are down from Rs 16 per minute in 1998 to 50 paise in 2009.

Operators, meanwhile, have been launching new products and services to attract the 14-odd million new subscribers every month. Reliance, for instance, has launched its Simply Reliance plan which offers local and STD calls at 50 paise per minute to any

vodafone	idea	RELIANCE Mobile	BSNL MOBILE	AIRCEL
VODAFONE Local and STD calls to Vodafone subscribers at 1 paisa/sec and 1.2 paisa/sec for others. Calls also at 30 paise/min	IDEA In Chennai and Tamil Nadu circles, calls are at 1 paisa/sec and 1.2 paisa/sec for local, STD and ISD calling. Plus free 750 local SMSes per day	RELIANCE Simply Reliance Plan: local and STD calls from Reliance to Reliance at 50 paise/min, 1.20 paise/sec to other networks	BSNL Local calls at 1 paisa/sec, STD at 2 paise/sec. Offer lasts a year for a Rs 45 voucher. On 3G plan, local voice and video calls at 30 paise/min and 50 paise/min for STD	AIRCEL Pocket Internet at Rs 98 for a month—free browsing, games, music and surfing or at Rs 14 for three days.

Soon after, the big boys—BSNL, Vodafone, Idea Cellular, Airtel and Reliance Communications (RCOM)—launched their PPS plans.

“We did not start the price war but simply responded as we did not have a choice,” Bharti Airtel Chairman and Managing Director Sunil Bharti Mittal said recently. Whatever the reason, heads of mobile services companies admit that they don’t want to take any

chances. And they shouldn’t. The per-second-billing plan has helped TTSI add 3.4 million new customers in August and four million in September. Airtel and RCOM only managed half of that. The PPS model, says HSBC Securities, could shave 10-15 per cent off telecom industry revenues. Gulati says it could lead to a “10-12 per cent increase in the average call duration”, from around 1.2-1.25 minutes now.

network, while Airtel’s ‘Advantage’ plan offers 50 paise per minute tariff for all calls within the Airtel network and 60 paise per minute to others. MTS is offering one million minutes of free talk time with local MTS-to-MTS calls charged at 35 paise per minute.

Retailers are equally important. That is where Docomo seems to have scored. Foreign holidays apart, it is offering retailers margins of Rs 60 and